

Reading Market Structure

Market structure is the foundation of technical analysis. It shows you who is in control of the market—buyers or sellers.

The Three Market Phases

- **Uptrend (Bullish)**: Characterized by Higher Highs (HH) and Higher Lows (HL). Buyers are in control.
- **Downtrend (Bearish)**: Characterized by Lower Highs (LH) and Lower Lows (LL). Sellers are in control.
- **Consolidation (Ranging)**: Price moves sideways between a clear resistance and support level without making clear HHs or LLs.

Identifying Highs and Lows

A 'Swing High' is a peak where the price reverses downwards. A 'Swing Low' is a trough where the price bounces upwards. Marking these on your chart is step one of analyzing structure.

Trend Shifts (Break of Structure)

A trend shift, or Break of Structure (BOS), occurs when:

- In an uptrend, price breaks below the previous Higher Low, creating a Lower Low. This indicates potential bearish momentum.
- In a downtrend, price breaks above the previous Lower High, creating a Higher High. This indicates potential bullish momentum.

Timeframes

Market structure is fractal. An uptrend on the 1-hour chart might just be a pullback in a downtrend on the Daily chart. Always align your trades with the higher timeframe (HTF) structure.